HARBORLINE ER

Financials | Private Credit and Business Development Companies

October 13, 2026

Kayton Dean
BBA + Quantitative Sciences
Oxford College of Emory University

BDC Discounts Overdone. OBDC Priced for Credit It Doesn't Have

A sector selloff has pushed OBDC's discount to NAV close to FSK's, even though OBDC reports the lowest non-accruals at fair value in our group

Key data: OBDC

Price (10/9/26)	$10.11
NAV/share (6/30/26)	$14.26
Price / NAV	0.71x
Non-accruals, FV	0.8%
Non-accruals, cost	2.8%
Base dividend (qtr)	$0.31
Base dividend yield	12.3%

Coverage	P/NAV	Call
OBDC	**0.71x**	**Overdone**
GBDC	**0.85x**	**Overdone**
BXSL	0.93x	Near NAV
ARCC	0.96x	Near NAV
TSLX	1.07x	Premium
MAIN	1.58x	Premium
FSK	0.59x	Earned

Prices as of Oct 9, 2026 close. NAVs as of June 30, 2026.

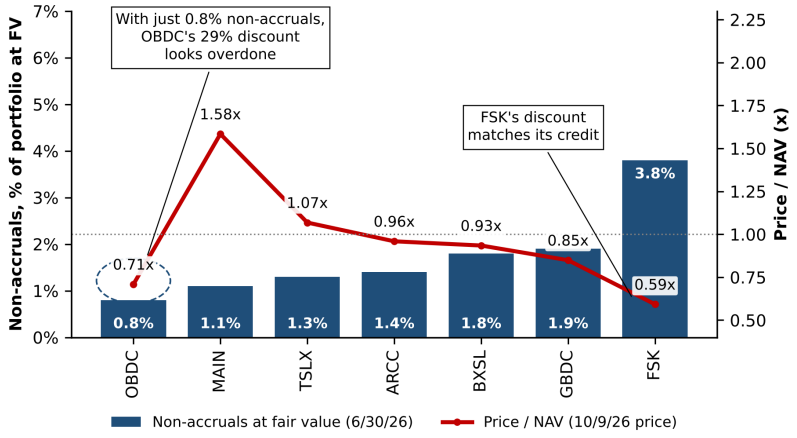
Market Not Separating Good Books From Bad. All seven BDCs we track fell 1.5% to 9.7% on a total return basis from Aug 31 to Oct 9, 2026, as private credit fears returned. OBDC, with just 0.8% of its portfolio on non-accrual at fair value, fell 9.7%, slightly more than FSK (3.8%) at 9.3%.

OBDC Discount Overdone. At $10.11, OBDC trades at 0.71x its June 30 NAV of $14.26, much closer to FSK's 0.59x than to BXSL's 0.93x. Adjusted NII of $0.34 covers the $0.31 base dividend, and management bought back $35 million of stock below NAV. Even a further 10% NAV decline would leave the stock at about 0.79x.

GBDC Is the Runner Up. GBDC trades at 0.85x NAV with 1.9% non-accruals at fair value, nearly the same credit profile as BXSL (1.8%), which trades at 0.93x.

FSK Discount Earned. FSK's 3.8% non-accruals at fair value (7.1% at cost) and a NAV that fell from $21.93 to $18.30 over four quarters justify the deepest discount in the group. Q3 reports begin in late October; OBDC holding non-accruals near 1% would support our view.

BDC Discounts vs. Credit Quality. OBDC Stands Out

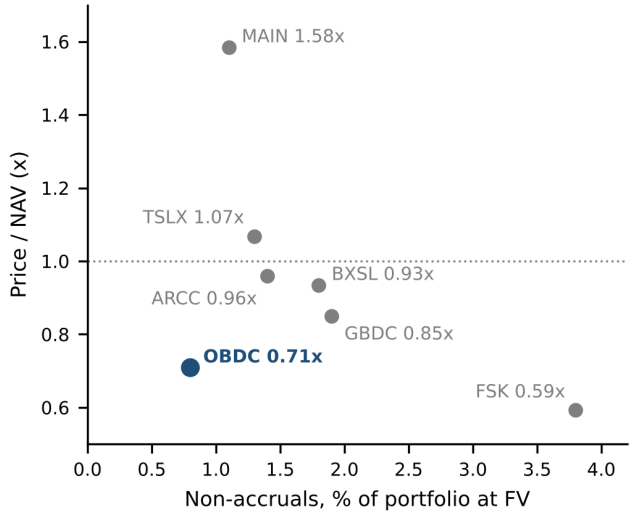


Source: Company filings (Q2 2026; GBDC fiscal Q3 FY26), StockAnalysis.com (S&P Global Market Intelligence data). Non-accruals as a share of the total portfolio at fair value.

Please see important disclosures on page 3 of this report.
This is an independent student research note prepared for educational purposes. It is not investment advice and not a recommendation to buy or sell any security. Figures come from public company filings and market data as cited.
© 2026 Kayton Dean. Harborline ER is a student research project name, not a registered firm.

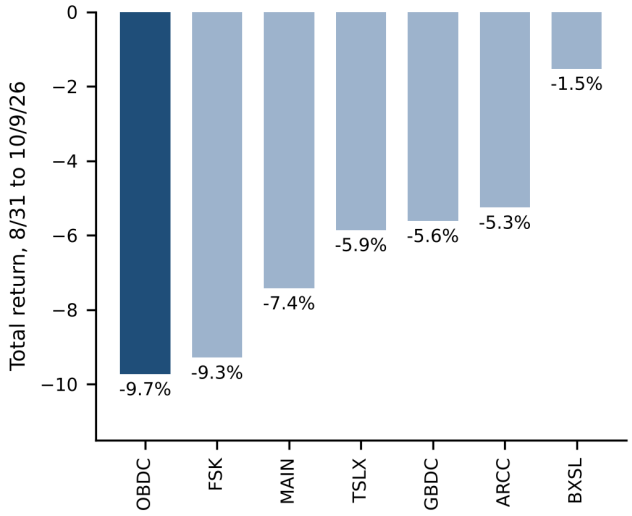
Notable Charts

Figure 1: Price / NAV vs. Non-Accruals



Source: Company filings, StockAnalysis.com. Price on 10/9/26, NAV on 6/30/26.

Figure 2: Total Return, Aug 31 to Oct 9, 2026



Source: StockAnalysis.com, dividend-adjusted closing prices.

If price tracked credit quality, the points in Figure 1 would slope down from left to right. OBDC sits well below where its 0.8% non-accrual rate would place it, and it suffered the largest drawdown in Figure 2. GBDC sits below BXSL despite nearly the same credit.

Figure 3: Valuation and Credit Summary

BDC	Price 10/9/26	NAV 6/30/26	Price / NAV	Non-accruals at FV	Non-accruals at cost	Base div. yield	Total return 8/31 to 10/9
OBDC	**$10.11**	**$14.26**	**0.71x**	**0.8%**	**2.8%**	**12.3%**	**-9.7%**
MAIN	$53.74	$33.92	1.58x	1.1%	4.0%	n/m	-7.4%
TSLX	$17.35	$16.24	1.07x	1.3%	n/a	9.7%	-5.9%
ARCC	$18.56	$19.35	0.96x	1.4%	2.4%	10.3%	-5.3%
BXSL	$23.86	$25.53	0.93x	1.8%	3.6%	12.9%	-1.5%
GBDC	$12.10	$14.25	0.85x	1.9%	2.9%	10.9%	-5.6%
FSK	$10.84	$18.30	0.59x	3.8%	7.1%	16.2%	-9.3%

Source: Company filings, StockAnalysis.com. Yield = latest quarterly base dividend x 4 / price. MAIN pays monthly plus supplemental dividends (n/m). TSLX did not report non-accruals at cost in its release (n/a).

OBDC: Credit Is Holding Up. OBDC's non-accruals at fair value fell to 0.8% in Q2 from 1.0% in Q1. NAV declined only modestly, from $14.41 to $14.26, mainly on markdowns of a small number of names, partly offset by over-earning the dividend and accretive buybacks.

MAIN and TSLX: Premiums Reflect a Different Model. MAIN trades at 1.58x because it is internally managed and holds equity stakes that have raised NAV for 16 straight quarters. TSLX trades at 1.07x on a long record of steady NAV. Non-accruals are not the main driver of their prices.

Sector Backdrop. The median non-accrual rate among the 20 largest listed BDCs rose to 2.8% at cost in Q2 2026 from 2.0% at the end of March, the highest since 2017, and Fitch reported a record 9.5% U.S. private credit default rate for July 2026. Credit stress is real; our point is that the market is not pricing it name by name.

Risks to Our View

Low fair value rate partly reflects deep markdowns. At cost, OBDC's non-accruals are 2.8%, up from 2.0% in Q1. Bad loans are already marked down hard, which is conservative accounting but also a sign of real losses.

Dividend cut. OBDC's base dividend fell from $0.37 to $0.31 a share. Income investors tend to punish cuts for several quarters.

Stale NAVs. All NAVs are as of June 30. Loan and software markets weakened after that date, so Q3 marks could come in lower across the group.

Persistent discounts. Externally managed BDCs have often traded below NAV for years without the gap closing.

Methodology

Prices are Oct 9, 2026 closes. NAV per share and non-accruals are as of June 30, 2026, the latest reported quarter (GBDC's fiscal Q3 FY26 covers April to June 2026). Non-accruals are shown as a share of the total portfolio at fair value, the one measure all seven companies report. Price / NAV = close divided by June 30 NAV. Total return uses dividend-adjusted closing prices.

Sources

- Ares Capital Q2 2026 results (SEC Exhibit 99.1)
- Blackstone Secured Lending Q2 2026 results (SEC Exhibit 99.1)
- Blue Owl Capital Corp Q2 2026 results (SEC Exhibit 99.1)
- Main Street Capital Q2 2026 results
- FS KKR Capital Q2 2026 earnings supplement
- Sixth Street Specialty Lending Q2 2026 results
- Golub Capital BDC fiscal Q3 FY26 earnings presentation
- StockAnalysis.com price history (S&P Global Market Intelligence data)
- stock3, citing the Financial Times and Fitch Ratings

IMPORTANT DISCLOSURES

This report was prepared by Kayton Dean, a student, as an independent educational exercise. It is not affiliated with, reviewed by, or endorsed by any broker-dealer, investment adviser, or the companies discussed. This report is provided for informational purposes only and does not constitute an offer to buy or sell, or a solicitation of an offer to buy or sell, any security. The views expressed are the author's own as of the date of this report and may change without notice.

Information is drawn from public filings and market data believed to be reliable, but accuracy and completeness are not guaranteed. Net asset values are reported quarterly and may not reflect subsequent changes in portfolio values. Past performance is not indicative of future results. Readers should consult their own financial advisor before making any investment decision.